

LAUNCH PLAN · NOV 2026 - OCT 2029

Rain Prediction Markets

Sports and quick-trade prediction markets with in-house market making, built for crypto-native traders worldwide.

\$20M

funding in three steps · peak need \$12.4M

Nov-27

EBITDA breakeven

\$63.0M

revenue in year 3

\$28.8M

EBITDA in year 3 · 46% margin

SUMMARY

Prove the unit economics in three months, then scale on them

Rain launches its prediction-markets business in Nov-26 with a deliberately small marketing budget and its full operating team in place. The first 3 months have one job: show that paid acquisition brings in traders whose value climbs to payback.

That evidence raises \$5M in Feb-27 and \$12M in Jun-27. Marketing then scales from \$10K a month to \$1.2M, the business reaches EBITDA breakeven in Nov-27, and by year 3 it trades \$2.79B a year with 171K active traders.

Rain earns a trading fee on every customer trade, and its own market-making desk earns a spread on the share of trades where it provides the liquidity: about 85% at launch, falling to 55% as other liquidity arrives. In year 3, fees bring in \$54.8M and the desk's realised spread \$8.1M.

85%

of acquisition cost recovered by month 3

Month 4

cohort payback

\$20M

total funding · peak need \$12.4M

Nov-27

EBITDA breakeven

\$63.0M

year-3 revenue

171K

active traders, Oct-29

Prediction markets are now a sports business, and the leading venues charge takers 2.5–3.5% of the cash paid on an even-money trade

~\$4B

Kalshi annualised revenue, July 2026 (press estimate), on about \$30B of monthly volume

~80%

of Kalshi's fee-generating volume comes from sports (analyst estimate, June 2026)

~\$1B

Polymarket annualised revenue, June 2026 (press estimate); sports are its largest category

What Rain builds

- **Sports markets**, pre-match and in-play, where the leading venues make most of their money.
- **Quick trades**: short-duration markets that settle in minutes to hours, bringing traders back daily.
- **In-house market making**: Rain's own desk provides liquidity where it chooses to and keeps the spread.
- **A global crypto-native audience**, with every country that prohibits prediction markets geo-blocked.

Why now

- Prediction-market volume grew roughly five-fold between late 2025 and April 2026.
- Sports bettors already lose 10–12% of their stakes to sportsbooks; an exchange fee of a few percent of the cash paid is a fraction of that.
- Quick-trade formats keep traders active far more often than one-off event bets.

Sources: Sacra company profiles of Kalshi and Polymarket (2026); CNBC, 26 Jun 2026; The Rio Times, April 2026; Casino Reports US sports betting database, August 2026. Revenue figures are estimates, not company disclosures.

Rain charges a trading fee on customer trades and earns a spread where its own desk provides the liquidity

Customer fee: taker fee on a 100-contract buy

Venue	At 10¢ \$10 paid	At 50¢ \$50 paid	At 90¢ \$90 paid
Rain — sports and quick trades 0.05 × contracts × p × (1-p); makers pay nothing	\$0.45 4.5% of cash	\$1.25 2.5% of cash	\$0.45 0.5% of cash
Polymarket — sports rate 0.05 since 10 Jul 2026; 15% rebated to makers	\$0.45 4.5% of cash	\$1.25 2.5% of cash	\$0.45 0.5% of cash
Polymarket — crypto, incl. 5- and 15-minute rate 0.07 (fee structure of 30 Mar 2026)	\$0.63 6.3% of cash	\$1.75 3.5% of cash	\$0.63 0.7% of cash
Kalshi — standard taker 0.07 × contracts × p × (1-p), schedule of 7 Jul 2026	\$0.63 6.3% of cash	\$1.75 3.5% of cash	\$0.63 0.7% of cash

Fees on entry only; positions held to settlement pay no further fee on any of the three venues. Rain's fee averages about 2.0% of the cash paid when trades spread evenly across 10–90¢; the live price mix sets the real average.

Sportsbook hold (≈10–12% of stakes) and Betfair commission (5% of net winnings) use different bases and are not comparable with the fees above. Sources: Polymarket fee and maker-rebate documentation (rates effective 30 Mar and 10 Jul 2026); Kalshi fee schedule effective 7 Jul 2026.

Desk income: the spread, where Rain provides the liquidity

Market-making desk	Sports	Quick trades
Share of customer volume the desk takes the other side of	85% at launch → 55% at scale	
Spread captured, % of desk turnover	1.00%	0.90%
Lost to informed traders, inventory and settlement	(0.45%)	(0.40%)
Hedging and external execution	—	(0.05%)
Net to the desk, % of its turnover	0.55%	0.45%

In year 3 that is \$7.8M, 0.28% of platform volume and 27% of EBITDA. The desk only rests orders, so it pays no fees to Rain. Its capital is sized to open positions plus a buffer for events that move together (\$6.2M by Oct-29), separate from customer funds.

FUNDING PLAN

\$20M in three steps, each raised on evidence from the step before

\$3M

Now · Nov-26

PROOF · NOV-26 – JAN-27

Covers the 3-month proof at Rain's \$900K monthly cost base, the first market-making capital and a \$10-30K monthly test budget.

Marketing \$10K → \$30K a month

\$5M

Round A · Feb-27

BUILD · FEB-27 – MAY-27

Raised on 3 months of live cohort data. Lifts marketing to \$250K a month and carries the business to Round B.

Marketing \$250K → \$333K a month

\$12M

Round B · Jun-27

SCALE · JUN-27 – OCT-29

Funds the main marketing push (\$1.2M a month) and carries the business through EBITDA breakeven in Nov-27.

Marketing \$1M → \$1.2M a month

Rain's operating cost base is **\$900K a month** from day one: team, market-making desk, sports data, legal, G&A and hosting. The base case needs \$12.4M of the \$20M; the rest is headroom for the downsides on page 10. Cash is lowest just before Round A: \$128K in Jan-27.

THE PROOF

By month 3 a cohort has earned back 85% of its cost, and it pays back in month 4



Cost per funded trader

\$80 or less

Still trading after month 1

68% or more

Volume per active trader

\$1K/month or more

Desk result after losses

0.45% of its turnover or more

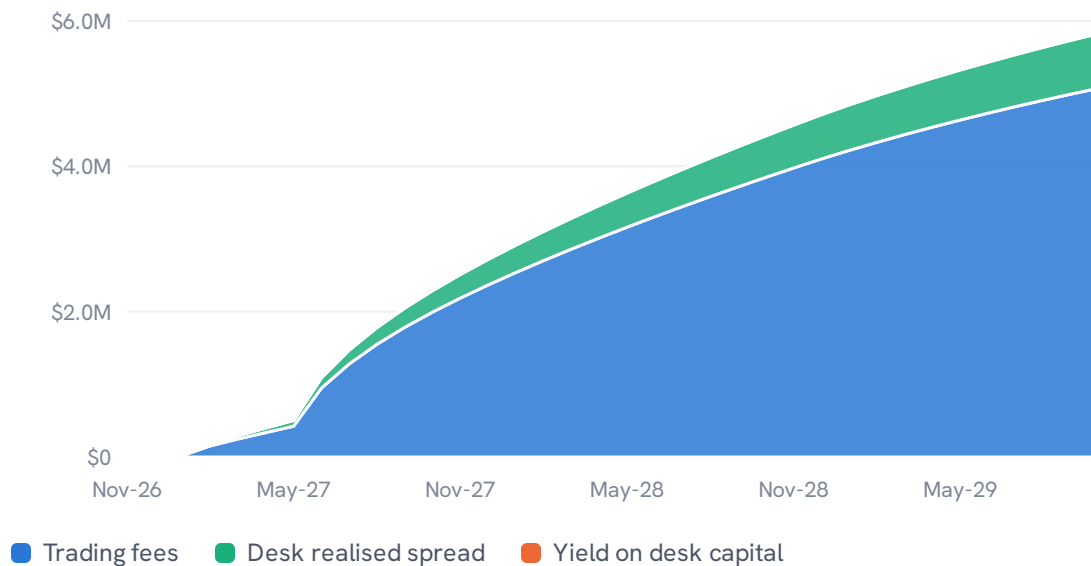
Cost recovered by month 3

85% or more

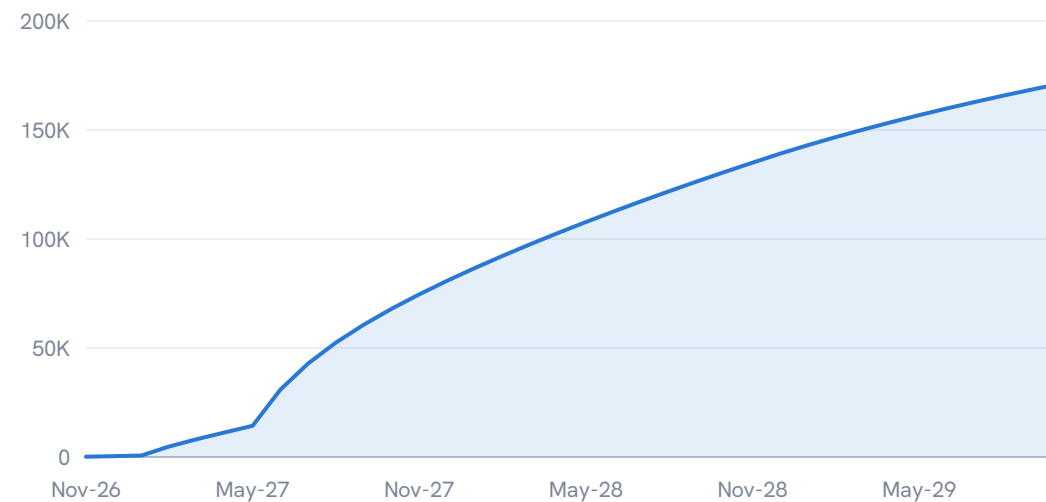
Curve = cumulative contribution of a cohort (fees plus the desk's net spread, after all variable costs) ÷ its acquisition cost. The scorecard is what Rain reports monthly from day one; results at or above plan are the case for Round A.

Revenue reaches \$70M a year by Oct-29, from 171K active traders

Monthly revenue



Active traders

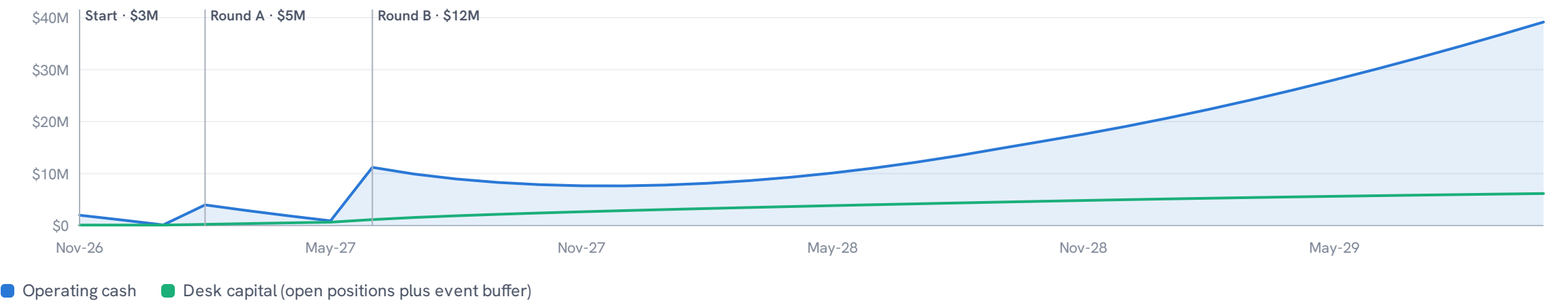


663K funded traders acquired over three years; 68% are still trading after a month, 20% after a year. Premium traders (8% of new) trade 4x the volume and stay longer.

Annual P&L: losses while marketing runs ahead of maturing cohorts, then 46% margins

	Year 1 Nov-26 – Oct-27	Year 2 Nov-27 – Oct-28	Year 3 Nov-28 – Oct-29
Traded volume (customer side)	\$445.5M	\$1.87B	\$2.79B
Active traders at year end	68K	131K	171K
Trading fees	\$8.8M	\$36.7M	\$54.8M
Desk realised spread (after informed-trader losses)	\$1.3M	\$5.4M	\$8.1M
Yield on desk capital	\$19K	\$74K	\$111K
Total revenue	\$10.1M	\$42.3M	\$63.0M
Desk hedging and external execution	(\$51K)	(\$206K)	(\$307K)
Infrastructure, payments, onboarding, support, duty	(\$1.6M)	(\$6.0M)	(\$8.6M)
Marketing	(\$7.2M)	(\$14.4M)	(\$14.4M)
Contribution after marketing	\$1.2M	\$21.7M	\$39.7M
Rain operating costs (\$900K a month)	(\$10.8M)	(\$10.8M)	(\$10.8M)
Licence fees	(\$108K)	(\$129K)	(\$129K)
EBITDA	(\$9.7M)	\$10.7M	\$28.8M
EBITDA margin	-95%	25%	46%

Funded throughout: the base case needs \$12.4M and ends the plan with \$39.2M in cash



Where the money goes	Proof Nov-26 – Jan-27	Build Feb-27 – May-27	Scale Jun-27 – Oct-29
Funding received	\$3.0M	\$5.0M	\$12.0M
Revenue	\$46K	\$1.4M	\$114.0M
Marketing	(\$60K)	(\$1.2M)	(\$34.8M)
Operating, variable and desk costs	(\$2.7M)	(\$3.9M)	(\$42.9M)
Desk capital added	(\$100K)	(\$555K)	(\$5.5M)
Net cash used (generated)	\$2.9M	\$4.2M	(\$26.2M)

Desk capital at Oct-29: \$6.2M, of which \$2.1M is in open positions and \$4.1M is a buffer that can be released within days, at the cost of desk capacity.

STRESS TEST

Every downside tested, single and combined, keeps year-3 EBITDA positive within the \$20M; the remaining risk is the timing of the rounds

Case	Year-3 revenue	Year-3 EBITDA	Breakeven	Peak funding need	Shortfall to bridge
Base case	\$63.0M	\$28.8M	Nov-27	\$12.4M	none
Acquisition cost +30%	\$48.5M	\$16.3M	Mar-28	\$15.4M	none
Volume per trader -15%	\$53.6M	\$20.4M	Feb-28	\$14.2M	none
Faster churn (first month 40% vs 32%)	\$50.7M	\$18.1M	Jan-28	\$13.5M	none
Desk's net return halved	\$59.1M	\$25.1M	Dec-27	\$13.3M	none
Combined: acquisition cost +20%, volume -10%, weaker retention, weaker desk	\$39.7M	\$8.5M	Jul-28	\$18.2M	none
Round A one month late (Mar-27)	\$62.7M	\$28.5M	Dec-27	\$12.7M	\$785K from Feb-27
Round A two months late (Apr-27)	\$62.5M	\$28.3M	Dec-27	\$13.0M	\$1.7M from Feb-27
Round B three months late (Sep-27)	\$60.7M	\$26.7M	Jan-28	\$13.4M	\$1.6M from Jul-27
Round B never arrives	\$63.0M	\$28.8M	Nov-27	\$12.4M	\$4.4M from Jun-27

The base case needs \$12.4M of the \$20M; the largest need in any case tested is \$18.2M, in the combined downside. Shortfalls arise only if rounds are late: about \$785K for each month Round A slips, and \$1.6M if Round B slips three months. A standby facility of about **\$2.6M** covers these with a month of costs in reserve. If Round B never arrives, \$4.4M is needed from Jun-27, after which the business funds itself. Cutting marketing does not help in any case, because the \$900K monthly cost base continues.

What must be confirmed before launch

Market access

No marketing to, or trading from, countries that prohibit prediction markets. Brazil banned them, sports included, in April 2026 (CMN Resolution 5298), and 28 platforms including Polymarket and Kalshi have been blocked there. The geo-block list is set by counsel and enforced at sign-up, payment and IP level.

Fees and activity

Rain's fee follows the competitor curve, peaking at 2.5% at 50¢. Its average depends on the prices traders choose, and the plan assumes \$1K a month of trading per active trader at this fee level; both are measured from the first cohort.

Licensing

The Gibraltar Prediction Market Authorisation is budgeted from Jan-27. Counsel must confirm the legal basis for operating from Nov-26 until it is granted; legal and licensing costs are carried from month 1.

Acquisition at scale

The plan assumes cost per funded trader holds near \$70 as monthly marketing grows from \$10K to \$1.2M. This is the assumption the proof phase tests first, channel by channel.

Market making

The desk is assumed to take the other side of 85% of volume at launch and 55% at scale, keeping about half the spread after losses to informed traders. Live mark-outs, participation and drawdowns are reported from month 1; customer funds are never used to make markets.

Timing of rounds

Cash is tightest in Jan-27 (\$128K) before Round A; a slip there needs a bridge from the first month. A standby facility of about \$2.6M covers a two-month Round A slip or a three-month Round B slip.

All figures in USD. 36 months from Nov-26. Forward-looking figures are plan assumptions, not forecasts of results.